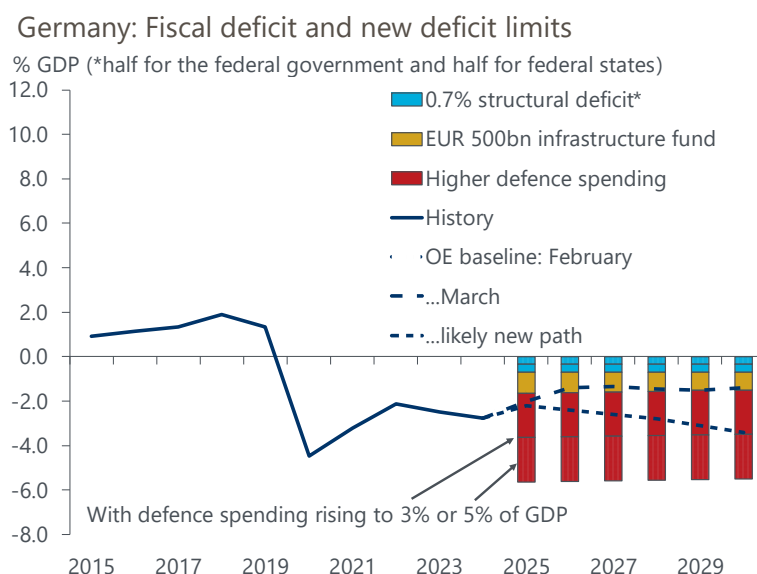


Research Briefing | Germany

Paradigm shift in fiscal policy lifts the growth outlook

- As a massive fiscal package looks set to be passed by Germany's parliament this week, we have revised our forecasts to reflect the extra spending on defence and infrastructure. We now expect GDP growth to average 1.8% over the next four years, 0.7ppts higher than in February, and to peak at 2.6% in 2027.
- The fiscal deficit could temporarily widen to over 3% of GDP and the structural balance to over 4%. However, we doubt that Germany will fully exploit the space that the new fiscal rules offer, so public debt should remain contained. Debt could rise to nearly 70% of GDP by 2035 – still easily fiscally sustainable – before returning to a gradual downtrend thereafter.
- Despite tweaks to ensure much of the funding goes to additional investment projects, the new fiscal rules will allow scope to plug holes in the core budget. And we assume that 40% of the fiscal package will go towards government consumption, likely reducing the potential boost to GDP, which by the late 2030s could still be 1.2% higher than in our February baseline.
- Spare capacity in industry and construction should initially contain the fiscal package's inflation boost and reduce the scale of crowding out. But the very tight labour market poses inflationary risks over the medium term, and sectoral bottlenecks could hamper the ramp up in defence spending, which points to a low fiscal multiplier. We see inflation peaking at 2.5% in 2028.
- Growth spillovers into the rest of the Eurozone will be limited as higher regional inflation and interest rates will largely offset higher German imports. We think the ECB is now unlikely to cut rates below neutral later this year, as in our current baseline. And it may hike rates above 2% in 2027 to thwart inflation pressures. Bund yields could average close to 3% before falling back.
- Uncertainty is unusually high. The flexibility and in part unrestrained nature of the new domestic fiscal rules makes much wider and more volatile deficits feasible. But the interplay with the more restrictive EU fiscal rules, questions around the economy's capacity to absorb the funds and the envisaged thorough reform of the debt brake add downside risks.

Chart 1: New fiscal rules create ample fiscal space



Source: Oxford Economics/Haver Analytics

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The sea change in Germany's fiscal policy now looks a done deal. The Bundestag, the lower house of parliament, has approved the fiscal package after last week's agreement with the Green party secured the necessary two-thirds majority. A two-thirds majority in the Bundesrat, the upper house, also looks secure after the CDU's Bavarian sister party, the CSU, convinced its coalition partner, the Frei Wähler (Free Voters), to vote in favour. We intend to incorporate the massive fiscal easing ([Chart 1](#)) into our April baseline update.

Deal with Greens tweaks fiscal package but retains its overall size

As a reminder, the likely incoming coalition government of the CDU and Social Democrats (SPD) [proposed](#) to:

- Widen the structural deficit allowed under the constitutional debt brake from 0.35% of GDP to 0.7%, with the additional fiscal space split among Germany's 16 federal states.
- Exempt defence spending above 1% of GDP from the fiscal deficit calculation relevant for the limit on deficits.
- Create a EUR500bn (12% of 2024 GDP) infrastructure fund outside the scope of the debt brake. This fund can be used over a 10-year horizon.

Last week's CDU-SPD deal with the Green party added a stronger focus on climate and somewhat limited the scope of fiscal spending:

- EUR100bn of the infrastructure fund is now reserved for measures to achieve climate neutrality by 2045. With another EUR100bn going to the states, this leaves EUR300bn for other federal investment.
- The federal portion of the investment fund can only be used if investment spending financed out of the 'core' federal budget exceeds 10% of that budget. This is meant to ensure that most of the funds are used on additional projects, instead of off-loading existing ones onto the investment fund.
- In light of the above, the lifetime of the infrastructure fund has been extended to 12 years, making full utilisation of it more likely.
- The definition of "defence" is extended to cover intelligence agencies, civil defence, government IT security and monetary support to countries under an attack in breach of

international law (i.e. Ukraine). This creates some new fiscal space in the core budget.

Despite the changes forced by the Green party, the new fiscal rules can still and are likely to be used to create fiscal space in the core budget. For instance, investment already makes up more than 10% of the federal budget. This might ease the core budget pressure by around 1% of GDP.

However, much of this will be used to plug existing holes in the budget rather than for new spending. This will remove the immediate consolidation pressure and facilitate the on-going CDU-SPD coalition talks. But the Greens intervention means that at least some of the inflationary measures from the [exploratory talks](#) won't materialise or will require fiscal cuts elsewhere.

Deficit could widen to over 3% of GDP, but only temporarily

The latest proposal still allows for massive fiscal easing. Instead of returning to a structural deficit of 0.35% of GDP, the deficit could in principle average around 3.5% of GDP over the coming decade ([Chart 1](#)). This assumes that defence spending rises to 3% of GDP and the infrastructure spending is spread equally over time. But the unlimited nature of the defence spending rule would allow much wider deficits. The deficit could in theory reach over 5%.

This also means that there is significant uncertainty over the size of future deficits and potentially more volatility year by year, which could affect bond issuance. Infrastructure and defence spending might soar in a particular year as big construction projects commence, for example.

Germany's fiscal framework has also become hugely [complex](#), including the debt brake, two new off-budget funds (in addition to the existing defence and climate funds), and EU-level fiscal rules. The interaction with more restrictive EU level fiscal rules may be the most important aspect of this development to consider. Will Germany obey, skirt, or ignore those rules or could the rules be adjusted to widen the fiscal leeway?

There are already [discussions](#) in Brussels to trigger an 'escape clause' in the EU fiscal rules allowing countries to exempt higher defence spending from fiscal assessments. That would

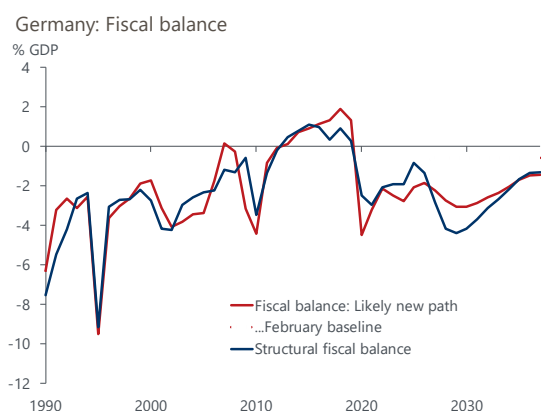
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remove an obstacle facing Germany's fiscal splurge since much of the widening in the deficit above the EU's deficit safeguard (a 1.5% of GDP structural deficit) can be attributed to defence. Moreover, part of the investment from the off-budget fund will support potential GDP, which the EU Commission could consider favourably when assessing deviations from fiscal rules. But Germany may still struggle to comply with other parts of the EU fiscal rules, such as the debt safeguard requiring public debt to fall over a four- or seven-year horizon for countries with debt at over 60% of GDP. These, too, look [likely](#) to be eased or suspended temporarily.

Overall, we chart a middle path. We judge our new assumption to have a balanced risk profile given the current high level of economic and political uncertainty. And we acknowledge that changes are likely.

We assume the structural deficit will widen gradually to over 3% across the next three years (**Chart 3**). This accounts for planning and implementation lags for the defence and infrastructure measures. We further assume the deficit will stay this wide for about two years as the rearmament process is in full swing. This will likely be followed by a period of fiscal tightening, bringing the deficit to around 1.5% over the course of eight years. The latter would allow public debt to return to a downward trajectory by the mid-2030s, as the EU fiscal rules require. A 1.5% deficit would also be close to what we think a reformed public debt brake may look like.

Chart 2: A massive fiscal about-face, but we doubt high deficits will be sustained for long



Source: Oxford Economics/Haver Analytics

Not all funds will go into investment

Spending priorities are another big question. In theory, the increase in spending should heavily

tilt towards investment. But the wide definition of the fiscal package that the incoming coalition has opted for leaves lots of room for manoeuvre.

For instance, the preliminary CDU-SPD coalition deal mentioned investment in civil defence, transport, hospitals, energy, education, care, and science infrastructure, research and development, and digitalisation as priorities for the infrastructure fund.

Moreover, the EUR100bn from the investment fund targeted at climate neutrality could easily be spent on a new round of subsidies for EV purchases, go towards lowering energy costs, or be used to subsidise corporate investment in carbon neutrality. And the EUR100bn allotted to the 16 federal states doesn't come with the same limitations that the federal government must abide by. It is likely that money will at least in part finance existing investment projects, leaving more space for other measures in core budgets.

We assume that 60% of the additional spending will go to government investment and the remaining 40% to government consumption. We will update this ratio as we get greater clarity, but think that this is a realistic split in terms of scenario results.

We believe a significant share of spending won't end up in investment and other measures to support long-term growth. We are also not convinced that the government will succeed in allocating the massive amount of funds in a highly targeted and efficient manner. Additionally, much of the spending on core infrastructure should be considered replacement investment, thus limiting the boost to the stock of capital. A temporary lift to activity via consumption could therefore more accurately reflect the economic impact of the fiscal package.

Can the economy absorb the funds?

The last main consideration for our forecast is whether the economy can absorb the massive amount of fiscal stimulus.

Experience of recent years makes us suspect that planning issues will delay new projects. Although the incoming government wants to tackle planning delays, a reform of, say, the defence procurement system could postpone work on equipment purchases. For instance, it took until 2024 to see a big rise in defence spending in response to the war in Ukraine and the off-budget defence fund that was created in 2022.

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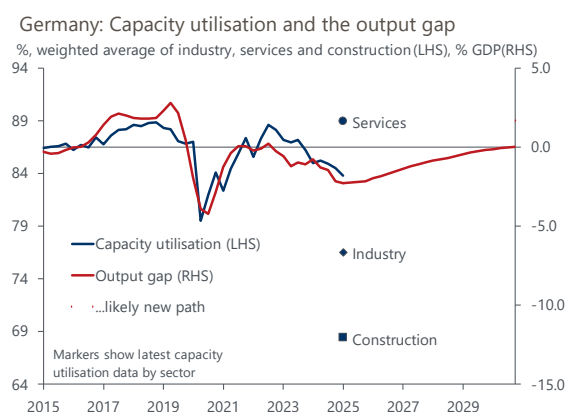
So, we expect a gradual widening of the deficit in the near term as firms, especially in the defence sector, begin to ramp up capacity. But the large leeway that the next government has in terms of spending priorities for the funds suggests that some lift to activity will already have materialised by late this year. Improved sentiment could also generate an earlier boost.

The bigger question is, can an economy with Germany's low potential growth outlook and huge demographic challenges run sizeable fiscal deficits without causing a big inflation overshoot? We think the answer is a cautious yes, at least in the scenario described above, where deficits only stay over 3% of GDP for around five years.

This is because the economy has ample spare capacity (**Chart 3**), after the past three years of stagnation. We think the output gap is between 1%-2% of GDP. Moreover, much of the spending will go towards construction and industry, sectors that are especially underutilised given the hit from past monetary policy tightening, weak global trade, and structural weakness in some key industries. Perversely, it is that weakness that now puts Germany in a better position to increase defence spending as firms can scoop up workers from related industries. Employment in manufacturing and construction is nearly 2% down from its post-pandemic peak.

Moreover, the wide definitions of defence and infrastructure suggest that higher spending will be somewhat spread out over the economy. This eases but doesn't remove the inflationary concerns we had about sectoral bottlenecks in our early coverage of the fiscal package.

Chart 3: Economy has ample spare capacity in key sectors benefitting from fiscal package



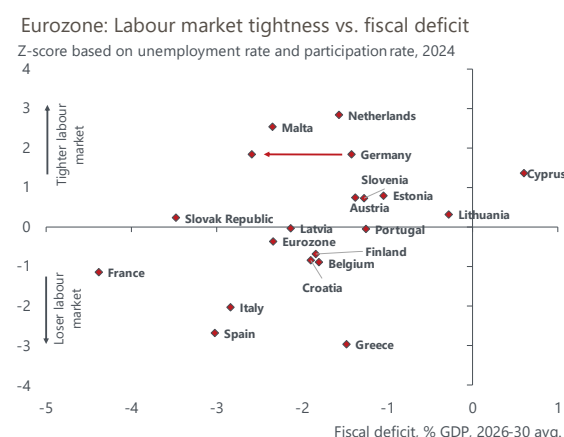
Source: Oxford Economics/Haver Analytics

Nonetheless, fiscal easing of 2%-3% of GDP versus our baseline over the coming two-to-three years will raise price pressures. After all, Germany has one of the tightest labour markets in the Eurozone and it may now also run one of the loosest fiscal policies (**Chart 4**).

The German unemployment rate is one of the lowest in Europe, participation rates are among the highest, and reported shortages of qualified workers remains elevated. So, an inflation response is likely, at least once the economy has absorbed the current slack.

And the more Germany uses its potential fiscal space, the greater the inflation risks and the more likely a marked ECB response becomes, unless the incoming government ends up implementing many more growth-enhancing structural reforms than we expect. We'll discuss reform options in a future Research Briefing.

Chart 4: Germany's tight labour market will now be hit by a fairly loose fiscal policy



Source: Oxford Economics/Haver Analytics

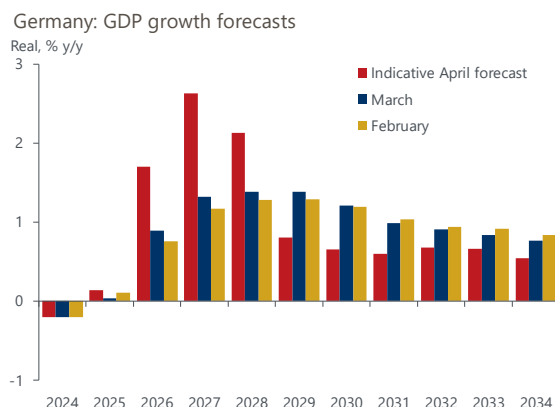
Fiscal policy: A big boost for growth...

Despite these qualifications on how much of the potentially possible fiscal easing will actually materialise, we think the outlook for German growth has materially improved.

We still expect the economy to tread water this year, but growth could double next year to close to 1.7%, with a further acceleration to 2.6% in 2027 (**Chart 5**). This reflects the progress we expect the government to make in deploying the new fiscal resources as the military build-up and infrastructure projects progress.

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Chart 5: Germany could enjoy a phase of strong catch-up growth as fiscal spending is deployed



Source: Oxford Economics/Haver Analytics

There should also be a significant uplift to private business investment as corporates build up the necessary capacity to meet public sector demand. In contrast, the increase in consumer spending will likely be limited, not least because higher inflation erodes the nominal income gains from lower unemployment.

We expect a sharp slowdown after 2027 with growth falling below our current baseline as the fiscal consolidation gains traction. Nonetheless, we think there will be a material lift to potential GDP thanks to the infrastructure measures. The economy may be over 1% larger by the time fiscal policy normalises in the late 2030s.

...causing a limited inflation overshoot

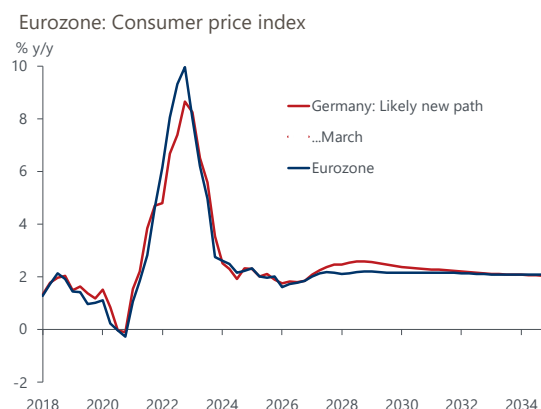
We also intend to revise up our inflation forecast significantly. Initially, the lift to consumer prices will be limited as the existing spare capacity limits the resulting price pressures. However, the scale and durability of the fiscal splurge in the face of Germany's demographically challenged supply side means inflation will respond eventually.

Falling consumer energy prices should keep inflation below 2% in 2026, but it could start overshooting the ECB's 2% target in 2027 and peak at 2.5% in 2028 and 2029 (**Chart 6**).

This is not least because labour demand will be materially stronger than in our previous baseline. Unemployment could fall to below 4.5% from the current level of over 6%, which could see wage growth temporarily reach 4% rather than stabilise at just above 3%. But it is likely that some of the increase in labour demand will be met by raising hours worked, which have been depressed in

recent years. That would initially dampen the inflationary effects.

Chart 6: German inflation will peak at 2.6%, but Eurozone inflation will overshoot only modestly



Source: Oxford Economics/Haver Analytics

ECB is unlikely to cut rates below neutral

Given Germany's size and its role as the main trading partner for many countries in the region, there will be positive growth spillovers. The Central and Eastern Europe region should benefit significantly given its key role in German industry's supply chain. Exports from Poland and the Czech Republic could increase by over 1%. The effects on Eurozone countries are likely to be smaller but still significant.

Although price pressures will be strongest in Germany, the inflationary boost is also unlikely to be fully contained domestically. We think the ECB will have to respond. We no longer expect it to cut its policy rate to below neutral later this year. Instead, we think the central bank will hold steady at a deposit rate of 2%, after cutting in April and June. Moreover, we see a growing risk of the ECB shifting policy into restrictive territory again as the main growth boost unfolds in late 2026 or 2027.

We will also revise our bond yield forecast in the April forecast round. The rise in German bond issuance, an increased policy rate forecast, and higher inflation suggest higher yields. German bund yields are likely to remain close to 3% for the coming years, before fiscal consolidation shifts them closer to 2.5% again.

Risks abound

The reality is that our forecast change is based on very limited information. There is no clarity on the scale and timing of the fiscal package and on the allocation of the funds. This makes it hard to

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accurately assess the growth and inflation impact and the fiscal multiplier.

However, the risks to the fiscal deficit are skewed to the upside. The likely incoming chancellor – Friedrich Merz of the CDU – places a lot of emphasis on improving military readiness and building up a deterrent. And the SPD is likely to push for full usage of the infrastructure fund, even if that means deploying it on consumption rather than investment projects.

And although the EU's fiscal rules may be at odds with sustained wide deficits, we struggle to see Brussels being an obstacle to German spending given its low debt level, the lacklustre compliance of other major EU countries and after years of many in the EU calling on Germany to use more of its fiscal space.

The risks to our forecast for growth are skewed to the downside, though, and those for inflation to the upside. Although the economy has spare capacity, the scale of the spending could well prove more inflationary than we expect. This is especially a risk if the incoming government doesn't agree a set of structural reforms to bolster potential growth and to increase the economy's capacity to absorb the funds. The fiscal multiplier could well be lower than our model assumes and more of the stimulus could leak abroad.

Transformative or not?

Overall, the sea change in Germany's fiscal policy orthodoxy has made massive fiscal easing feasible. This could well transform the economic outlook for the coming decade and has the potential to change Germany's growth model. It could reduce Germany's perennial excess savings and its reliance on global trade, and it could structurally lift domestic demand.

However, we regard this as an upside scenario. We aren't sufficiently convinced that the incoming government is ready to fully exploit its fiscal space, can deploy it efficiently enough, and can accompany the spending with sufficient structural reforms.

Our new forecasts chart a middle path, where Germany's growth model is adjusting to new realities but has not been transformed. That being said, we consider the fiscal package a net positive for the German economy. It should help build a viable military deterrent, jumpstart the recovery, modestly lift medium-term growth

prospects, and reduce the economy's reliance on exports.

